

Module 10

Business and

Company Law

Answers

The suggested answers are longer than what candidates are expected to give in the examination. The purpose of the suggested answers is meant to help candidates in their revision and learning. The suggested answers may not contain all the correct points and candidates should note that credit will be awarded for valid answers which may not fully covered in the suggested answers.

WRITTEN QUESTIONS (Total: 100 marks)

Answer 1(a)

The question required candidates to discuss the contractual disputes between Judy and Sam on behalf of the Company.

In this case, Sam made an offer to Judy and Eric to sell the precious white diamond for HK\$3,000,000. This is a definite offer which is capable of being accepted as per the case of *Carlill v Carbolic Smoke Ball Co.* It was held that an offer is a willingness to be bound and is capable to be accepted by the offeree.

Judy replied to Sam that she needed some time to consider the offer. Sam's reply also stated that he would keep the offer open until Sunday. Since Judy did not give any consideration for this promise as per the case of *Routledge v Grant*, Sam was not bound by the promise and the offer can be withdrawn at any time before acceptance.

Consideration is defined as some right, interest, profit or benefit accruing to one party or some forbearance, detriment, loss or responsibility given, suffered or undertaken by the other party in *Currie v Misa*.

Acceptance is an unqualified assent of the offer and actually communicated to the offeror, i.e. when Sam and Eric signed the agreement on Thursday.

An offer may be revoked at any time before acceptance provided that revocation is actually communicated to the offeree either by the offeror or by a reliable third party, i.e. by Tom. Revocation may be express or implied. The offer was effectively revoked on Friday.

In general, the contract is completed when the acceptance is received by the offeror and the contract is made in the place where the acceptance is received with exception of postal rule as per the case of *Adams v Lindsell*.

In this case, Judy purported to post a letter to accept Sam's offer at HK\$3,000,000 on Saturday. The acceptance took effect on the date of posting, i.e. Saturday under the postal rule. However, the offer was revoked by Sam's colleague Tom on Friday prior to the acceptance by Judy on Saturday. Therefore, no valid contract had been formed between Judy and the Company.

Answer 1(b)

The question required candidates to discuss the bribery offence of Sam accepting the secret commission as an agent for the Company.

The key bribery offence provision is set out in s.9, which addresses the bribery of "agents". The principal is regarded as the employer and the agent is regarded as the employee. S.9 is intended to prohibit conduct that may undermine the integrity of the "principal and agent" fiduciary relationship, such as any receipt by an agent of advantages from third parties without the principal's permission and secret attempts by third parties to corrupt or influence an agent.

It is an offence that anyone who, without lawful authority or reasonable excuse, offers an advantage to an agent (or, as an agent, solicits or accepts an advantage) as an inducement or reward or otherwise on account of the agent (not) performing an act or (dis)favouring any person in relation to his/ her principal's affairs or business.

An advantage is defined by s.2 as including, but not being limited to, any gift, loan, fee, reward or commission consisting of money or of any valuable security or of other property or interest in property of any description; any office, employment or contract etc. In this case, the secret commission to Sam as an agent without approval from the Company is within this definition.

Note: The references to the above provision(s) are made to the Prevention of Bribery Ordinance (Cap. 201).

Answer 1(c)

The question required candidates to discuss the breach of employment contract and summary dismissal.

Under s.9, summary dismissal is available on the following grounds:

- (a) where an employee -
 - (i) wilfully disobeys a lawful and reasonable order;
 - (ii) engages in conduct which is inconsistent with the due and faithful discharge of his/ her duties;
 - (iii) is guilty of fraud or dishonesty; or
 - (iv) is habitually neglectful in his/ her duties.
- (b) on any other ground on which an employer would be entitled to terminate the contract without notice at common law.

Summary dismissal is also available in common law. There may be a case if there is a serious breach of the employment contract or evinced repudiation of the employment contract, i.e. a breach of the implied term of trust and confidence in the employment.

Accepting a secret commission without approval from the Company is definitively a serious breach of the employment contract under both common law and s.9. On summary dismissal, the employment relationship is terminated with immediate effect and the employee is not entitled to receive notice of termination or payment in lieu of notice.

In this case, the Company can terminate its employment with Sam without notice having regard to his conduct.

Note: The references to the above provision(s) are made to the Employment Ordinance (Cap. 57).

Answer 1(d)

The question required candidates to discuss the four ways of agency creation.

Agency by Appointment

This can be created by (1) express appointment made orally or in writing or (2) implied appointment involving permission to act, even if permission is not explicitly established orally or in writing.

Agency by Ratification

If a person acts as an agent without authority, then the principal can ratify or confirm the contract subsequently. Ratification can occur when the agent acts outside the scope of his/ her known authority. The contract must be capable of ratification.

Agency by Necessity

There must be a genuine emergency. It is impracticable to obtain the principal's instructions before the acts are done. The acts must be done in good faith. The acts must be done for the benefit of the principal and not only for convenience sake. The agent must already be acting for the principal as an agent.

Agency by Estoppel

This is an equitable principle. When (1) a principal has given certain representation (2) which has the effect of misleading any third party into the belief that (3) the agent has the principal's authority, the law would regard the agent as having apparent authority.

In this case, Sam is an agent by appointment. He is an employee and duly authorised by the Company to deal with the precious white diamond.

Answer 2(a)

The question required candidates to discuss the unfair prejudicial remedy.

S.724 provides that the court may exercise its powers to give relief if, on a petition by a member of the company, it considers that:

- (a) the company's affairs are being or have been conducted in a manner which is unfairly prejudicial to the interests of the members generally or of one or more members (including the member); or
- (b) an actual, or proposed, act or omission of the company (including one done or made on behalf of the company) is or would be so prejudicial.

There are two elements to the requirement of unfair prejudice, and both must be present:

- (a) the conduct must be prejudicial causing prejudice or harm to the interest of the members or some part of the members of the company; and
- (b) the conduct complained of must be unfair.

In *Re Ching Hing Construction Co Ltd unrep. [1999]*, the company was a family business. The petitioner was excluded from management of the company in breach of a mutual understanding and excessive remunerations were paid to the directors whilst the company was trading at a loss. It was held that any conduct which amounts to injury, detriment or damage to the member petitioner shall be regarded as prejudice conduct and that unfairness and prejudice conduct to members must be in co-existence.

The concept of unfairness is similar to the just and equitable ground for winding-up. The notion of fairness must be understood in this context. The notions on fairness have been well explained by the court in *O'Neill v Phillips [1999]*. It was held that for unfair prejudice remedy there must be a breach of the terms of how the affairs of the company should be conducted and it is unfair for those conducting the affairs of the company to rely on their strict legal powers under the constitution of the company.

S.725(1)(a) provides that the court may make any order it thinks fit for giving relief under a petition for unfair prejudice under s.724(1)(a). Under ss.725(2) and 726, the specific remedies which the court may order include:

- (a) restraining the continuance of the conduct of the company's affairs mentioned in the petition;
- (b) that proceedings that the court thinks fit be brought in the company's name;
- (c) appointing a receiver or manager;

- (d) any other order the court thinks fit, whether for regulating the conduct of the company's affairs in future, for the purchase of shares of any member of the company by another member of the same company, for the purchase of shares of any member of the company by the company and the reduction accordingly of the company's capital, or for any other purpose; and
- (e) for the company or any other person to pay any damages that the court thinks fit to a member of the company whose interests have been unfairly prejudiced by the conduct of the company's affairs or by the act or omission.

In this case, Alvin may argue that he was removed from the directorship and excluded from management, which is a breach of the mutual agreement and legitimate expectation to manage the company. This conduct is unfairly prejudicial to him as a member of the company. As such, he may apply for unfair prejudicial remedies under s.724 and the specific remedies available under s.725.

Note: The references to the above provision(s) are made to the Companies Ordinance (Cap. 622).

Answer 2(b)

The question required candidates to discuss the requirement under s.177(1).

S.177(1) provides that a company may be wound up by the court if:

- (a) the company has by special resolution resolved that the company be wound up by the court;
- (b) the company does not commence its business within a year from its incorporation, or suspends its business for a whole year;
- (c) the company has no members;
- (d) the company is unable to pay its debts;
- (e) the event, if any, occurs on the occurrence of which the articles provide that the company is to be dissolved;
- (f) the court is of opinion that it is just and equitable that the company should be wound up.

There are two grounds for Alvin. Alvin may rely on the ground that the company is unable to pay its debts under s.177(1)(d) as the company refused to repay the loan to him.

S.178(1)(a) provides that a company shall be deemed to be unable to pay its debts if a creditor, by assignment or otherwise, to whom the company is indebted in a sum then due that equals or exceeds the specified amount, has served on the company a written demand in the prescribed form requiring the company to pay the sum so due; and by leaving it at the registered office of the company; and the company has, for three weeks after the service of the demand, neglected to pay the sum, or to secure or compound for it to the reasonable satisfaction of the creditor. S.178(3) provides that specified amount means the amount of HK\$10,000. The loan of HK\$500,000 exceeds the specified amount and Alvin may serve statutory demand on the company under s.178.

Alvin may also rely on the just and equitable grounds under s.177(1)(f) that it is just and equitable to wind up the company.

It is necessary to prove that it is a last resort to apply for a petition to wind up the company on just and equitable ground and no other remedy such as unfair prejudice remedy is available to the shareholder.

The Companies Ordinance does not define the meaning of "just and equitable grounds". This is governed by case law as per *O'Neill v Phillips [1999]*.

The courts have allowed the cases where the main object of the company has failed; and where the members have formed a company on the basis of a relationship involving mutual trust, understanding and confidence which no longer exists, and winding-up is a last resort in *Re Yung Kee Holdings Ltd [2014]*.

Note: The references to the above provision(s) are made to the Companies (Winding Up and Miscellaneous Provisions) Ordinance (Cap. 32).

Answer 3

The question required candidates to discuss the case for recovery of debts as a civil claim, the tribunals and courts for civil claim and their trial and appellate jurisdictions.

By Article 80 of the Basic Law, Hong Kong courts at all levels shall be the judiciary, exercising judicial power. The court system for civil claim includes District Courts, the Court of First Instance of the High Court ("CFI") and the Court of Final Appeal. Specialist tribunals such as the Small Claims Tribunal were set up to help relieve the burden of the court system.

The Small Claims Tribunal hears monetary claims involving amounts not exceeding HK\$75,000. If the claim exceeds HK\$75,000, then the claimant may consider abandoning part of the claim to bring the action to the Small Claims Tribunal. The main types of claims handled by the Small Claims Tribunal are debts, service charges, damage to property and consumer claims. The hearing in the Small Claims Tribunal is informal and does not allow legal representation. Even if the judgment is in favour of the claimant, the claimant needs to take further action to enforce judgment if the defendant refuses to pay.

The District Court is a mid-level court in the court system, and it has both civil and criminal jurisdictions. The civil jurisdiction of the District Court is able to hear disputes based on contract with a claim amount up to HK\$3,000,000. The District Court also tries civil claims or recovery of land with an amount up to HK\$7,000,000, and other cases involving annual rent or ratable value with an amount not exceeding HK\$320,000. The District Court has jurisdiction over employees' compensation, equal opportunity claims and matrimonial matters including divorce and maintenance. The District Court has no appellate jurisdiction to review appeal cases.

The CFI has unlimited jurisdiction in both civil and criminal matters. For its civil jurisdiction, the court hears claims over HK\$3,000,000. A High Court judge sits in the court in the absence of a jury, except for defamation. The CFI also exercises jurisdiction in admiralty, bankruptcy, company winding-up, adoption and probate. When exercising its appellate jurisdiction, the CFI hears appeals from the Magistrates' Courts, the Labour Tribunal, the Small Claims Tribunal and the Obscene Articles Tribunal.

Appeal from the Small Claims Tribunal is to the CFI.

Appeal from the District Court is to the Court of Appeal. Leave from a District Court judge is usually required for such appeal.

Appeal from the CFI is to the Court of Appeal. The Court of Appeal is part of the High Court, and has both civil and criminal jurisdictions. When the court exercises its civil jurisdiction, the Court of Appeal hears appeals from the CFI, the District Court and the Lands Tribunal.

Appeal from the Court of Appeal is to the Court of Final Appeal. The Court of Final Appeal has both civil and criminal jurisdictions. It hears appeals of civil matter if the question involved in the appeal is of great general or public importance. No appeal to the court will be accepted unless leave from the Court of Appeal or Court of Final Appeal is granted.

In this case, this is a case for recovery of debts. It is a civil claim for monetary disputes. Depending on the amount, a civil action can be taken in the above tribunal or court, and appeal can be made to the above higher courts.

Answer 4(a)

The question required candidates to discuss the auditor's liability for negligent misstatement.

Negligent misstatement is based on tort of negligence and occurs where there is a representation of fact, which is incorrect and carelessly or negligently made, and is relied on by another party who suffers from damages as a result.

To successfully claim negligent misstatement, the plaintiff must prove that:

- (a) the defendant owed him/ her a duty of care;

- (b) the defendant was in breach of duty;
- (c) the breach of duty has (causation) caused injury or damage; and
- (d) the injury or damage is not too remote.

The duty of care requirement under *Donoghue v Stevenson [1932]* is not enough, and was rejected by *Hedley Byrne & Co. Ltd. v Heller & Partners Ltd. [1964]*. It was held that proximity was required. Proximity is a "special relationship" between the representor and the representee/ recipient. A "special relationship" arises when someone of special skills undertook, irrespective of contract, to apply that skill for the assistance of another person who relied upon such skill.

Liability for negligent misstatement is founded in the case of *Hedley Byrne & Co. Ltd. v Heller & Partners Ltd. [1964]*. The duty of care is established based on the existence of a special relationship and was said to exist "where one party seeking information and advice was trusting the other to exercise such a degree of care as the circumstances required where it was reasonable for him to do that and where the other party gave the information or advice when he knew or ought to have known the enquirer was relying on him".

In this case, in order to make Alan liable as an auditor, it is necessary to prove the existence of a special relationship between the Bank and Alan, i.e. whether it is foreseeable for the Bank to rely on the Report, and proximity exists between the representor and the representee/ recipient. As Alan did not know that the Report would be relied on by the Bank, it may be difficult to prove that he is liable for negligent misstatement.

Answer 4(b)

The question required candidates to discuss the concept of proximity.

In considering whether Alan owes the Bank a duty of care, it should be established that there is a "special relationship" between Alan and the Bank. The test is laid down in *Caparo Industries plc v Dickman [1990]*.

In *Caparo Industries plc v Dickman [1990]*, it was held that the defendant must be in a position to foresee that the plaintiff shall rely on his/ her advice or information and refuse to extend the duty of care to the potential investor. The potential investor was not proximate enough to support the existence of a neighbour relationship. The following factors of proximity are required for auditors as per *Caparo Industries plc v Dickman [1990]*:

- (a) "sufficient relationship of proximity" as per *Hedley Bryne & Co. Ltd.*;
- (b) "reasonable foresight of harm"; and
- (c) "fair, just and reasonable to impose the duty".

Following *Caparo Industries plc v Dickman* [1990], the issue is whether Alan knew that the Report had been prepared for making a loan application to the Bank. If there is a foreseeable reliance on the Report by the Bank, then it is fair, just and reasonable to impose the duty on Alan as a practising CPA.

According to the circumstances, this may be a case of reasonable reliance. In light of the court's decisions in *Caparo Industries plc v Dickman* [1990], it seems that there is sufficient degree of proximity in the relationship between an auditor and the Bank to establish a duty of care. The advice to the Bank is that it is highly probable that Alan owed to the Bank a duty of care as Alan knew that the purpose of the Report was for loan application when he prepared the Report. It may be able to prove that he is liable for negligent misstatement. The Bank still needs to prove the causation and damages upon which the Bank in this case relied on the Report and suffered loss as a result.

Answer 5(a)

The question required candidates to discuss the principles of separate legal entity, limited liability and the exceptions.

A company is a separate legal entity. This means that a company is a different entity altogether from its shareholders and directors. The liabilities of the shareholders are limited to the amount of shares they subscribed, and the shareholders are not liable to the liabilities of the company.

A company is treated as a separate legal person, as opposed to a natural person (one born naturally), under the case of *Salomon v A. Salomon Co. Ltd.* [1897]. A legal person has all the legal capacities as per a natural person of full age under s.115(1). The unique feature about limited companies is that the shareholders are protected by the doctrine of limited liability. This means that the shareholders are only obliged to contribute the amount they agreed to subscribe the shares of a private company limited under s.8.

In *Salomon v A. Salomon Co. Ltd.* [1897], it was held that Mr. Salomon could be both the shareholder and the creditor of a company. The two capacities were different. A company at law was a different person, even if it was effectively being operated by one person. As such, Mr. Salomon was entitled to enforce the debentures of the company as a creditor in the company's liquidation. However, the principles are subject to being rebutted.

Note: The references to the above provision(s) are made to the Companies Ordinance (Cap. 622).

Answer 5(b)

The question required candidates to discuss whether the corporate veil can be lifted up.

There have been a number of cases where the court has been willing to lift the veil, and there are also some relevant statutory provisions. The veil may be lifted in cases involving fraud and crime under common law or the statutes. A few categories of cases where it is commonly suggested that the veil will be lifted are fraud or improper conduct, agency and parent-subsidiary relationship.

In *Adams v Cape Industries plc* [1990], the courts allowed the veil to be lifted in only three situations where: (1) Cape Industries plc ("Cape") and the relevant subsidiaries were treated as a single economic unit; (2) the subsidiaries were used as a mere façade, concealing the true facts; and (3) an agency relationship existed between Cape and its subsidiaries. In *Prest v Petrodel Resources Ltd.* [2013], the UK Supreme Court re-examined the doctrine of separate legal entity and held that the doctrine must be taken seriously, and the veil piercing is only appropriate if there has been evasion of liabilities and the corporate personality of the company has been abused where no other remedy of law can provide an appropriate remedy.

It can be seen from the foregoing cases that the doctrine of separate legal entity is taken seriously and the veil is not lifted unless with a good reason. Mother Ltd and Son Ltd are two legal entities. The liability of Mother Ltd as a shareholder of Son Ltd is limited. It is not enough to say that Mother Ltd and Son Ltd are under the holding-subsidiary relationship and closely related in terms of management control. In conclusion, it is necessary to prove that there has been evasion of liabilities and the corporate personality of the company has been abused where no other remedy of law can provide an appropriate remedy in order to lift the veil of Son Ltd in view of *Prest v Petrodel Resources Ltd.* [2013].

Answer 6(a)

The question required candidates to explain the rules of a retention of title and ownership clause and its validity.

A retention of title and ownership clause (also called a Romalpa clause in some jurisdictions) is a contractual term that allows the seller of goods to retain title and ownership of those goods until the seller has been paid the agreed price of the goods. The main purpose of the retention of title and ownership clause is to ensure that where goods are supplied on credit, if the buyer subsequently goes into liquidation, the seller can repossess the goods. In the absence of retention of title and ownership clauses, the title (ownership) is transferred on delivery, even if goods have not been paid for under s.19(1).

However, this is subject to the intention of the parties, and regard shall be had to the terms of the contract, the conduct of the parties and the circumstances of the case under s.19(2).

In the absence of a retention of title and ownership clause, the seller can only claim the price of the goods sold and has no right to reclaim the goods. This is crucially important if the company becomes insolvent, as the liquidator shall take over the goods in the possession of the company in accordance with insolvency law.

A seller may reserve the title under s.21. Where there is a contract for the sale of specific goods, or where goods are subsequently appropriated to the contract, the seller may, by the terms of the contract or appropriation, reserve the right of disposal of the goods until certain conditions are fulfilled.

Note: The references to the above provision(s) are made to the Sale of Goods Ordinance (Cap. 26).

Answer 6(b)

The question required candidates to explain whether the seller is able to enforce the retention of title and ownership clause.

The transfer of title and ownership of the goods is subject to the intention of the parties, and regard shall be had to the terms of the contract under s.19(2). With the retention of title and ownership clause in the agreement, the title and ownership of the goods shall remain vested in the seller until certain conditions are fulfilled.

In *Aluminium Industrie Vaassen BV v Romalpa Aluminium Ltd. [1976]*, Aluminium Industrie Vaassen ("AIV") sold goods to Romalpa Aluminium Ltd. ("Romalpa") on credit with a retention of title and ownership clause, and on Romalpa's winding-up, the receiver claimed that the goods were subject to the bank's charge. AIV brought the case to court of law. The court held that AIV remained to be the owner of the goods and that the bank's charge was invalid as Romalpa was not the owner.

In this case, Hong Kong Aluminium Ltd may rely on the retention of title and ownership clause as it is the intention of the parties as per ss.19(2) and 21. In view of the decision of *Aluminium Industrie Vaassen BV v Romalpa Aluminium Ltd. [1976]*, Hong Kong Aluminium Ltd. is able to claim against the liquidator over the unused aluminium materials of Hong Kong Window Ltd.

Note: The references to the above provisions(s) are made to the Sale of Goods Ordinance (Cap. 26).

Answer 7(a)

The question required candidates to explain insider dealing.

Inside information is defined, in relation to a corporation, as specific information about the corporation, a shareholder or officer of the corporation, or the listed securities of the corporation or their derivatives, which is not generally known to the persons who are accustomed or would be likely to deal in the listed securities of the corporation but which would, if it were generally known to them, be likely to affect the price of the listed securities materially by s.245. In this case, the information given by Benny to Amy falls within this definition.

Insider dealing is a dealing based on material and non-public inside information that is price sensitive about a publicly listed company by insiders who buy and sell securities for his or other personal gain. Tipping or disclosing inside information to others by insiders also falls under the insider dealing regime. Insider dealing is unfair and inequitable which interferes with the free operation of the stock market and destroys public confidence, and it is a widely recognised form of market misconduct. Insider dealing is governed by the Securities and Futures Ordinance (Cap. 571) ("SFO") and is regulated by the Securities and Futures Commission.

Insider dealing is defined in s.270 (civil liability) and s.291 (criminal liability). There are seven situations under which a person may violate insider dealing provisions under the SFO. Insider dealing applies to publicly listed companies only. In this case, Benny's company is a publicly listed company and is governed by the SFO.

Note: The references to the above provision(s) are made to the Securities and Futures Ordinance (Cap. 571).

Answer 7(b)

The question required candidates to discuss who shall be liable for insider dealing.

The key provision relevant to this case is s.270 which can be summarised in the following two situations:

- (a) Person connected with a corporation leaks inside information about that corporation

A person who is (i) connected with a corporation; or (ii) has been contemplating making a takeover offer of the company; (iii) knowingly in possession of relevant information; and buys and sells the listed shares of the company, requests another person to buy or sell such shares or discloses the information to another person knowing or believing that the other person will disclose the information to a third person to get that person to buy or sell such shares.

- (b) Recipient of inside information from a person connected with a corporation deals in shares of that corporation

A person (tippee) who has received relevant information in the circumstances specified in the above situation, deals in the shares of the company, requests another person to do so or discloses the information to a third person to get that person to buy or sell listed shares in the relevant company.

A connected person is defined as a person connected with a corporation if, being an individual, he/ she is a director or employee of the corporation or a related corporation of the corporation. In this case, Benny is the director of a publicly listed company, he is a connected person and had inside information which was not generally available to the public.

A tippee is a person who has information which he/ she knows is inside information in relation to the corporation and which he/ she received, directly or indirectly, from a person whom he/ she knows is connected with the corporation, and whom he/ she knows or has reasonable cause to believe held the information as a result of being connected with the corporation who deals in the listed securities of the corporation under s.270. In this case, Amy was a tippee who received inside information from Benny and then bought and sold the shares in the stock market and made a good profit of it.

In this case, during the discussion, Calvin disclosed to Benny of the intention to take over Benny's company. The information was not generally known to the public and the information would certainly affect the price of Benny's company in the stock market. As such, the information should be treated as inside information. Two persons may violate the insider dealing provisions. Benny was liable as a connected person and Amy was liable as a tippee. Benny as a tipper passed on the relevant information to Amy, and Amy as a tippee received that information and made use of it by buying and selling the shares in the stock market. Benny and Amy were liable for insider dealing.

Note: The references to the above provision(s) are made to the Securities and Futures Ordinance (Cap. 571).

* * * END OF EXAMINATION PAPER * * *